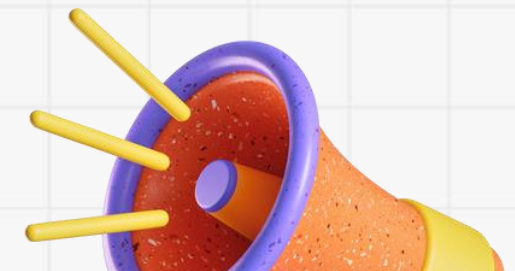
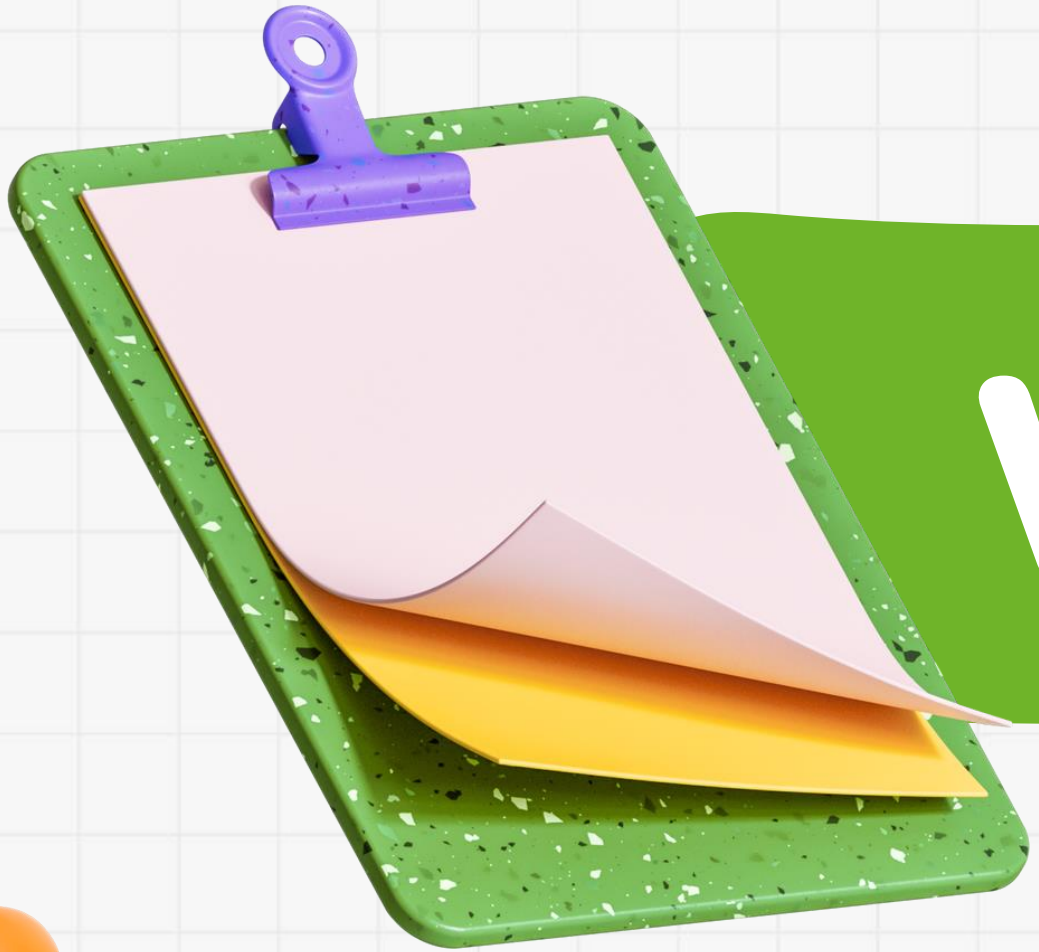


## CHAPTER 9

# The Role of Ethics in the MICE Industry





# What is Ethics?

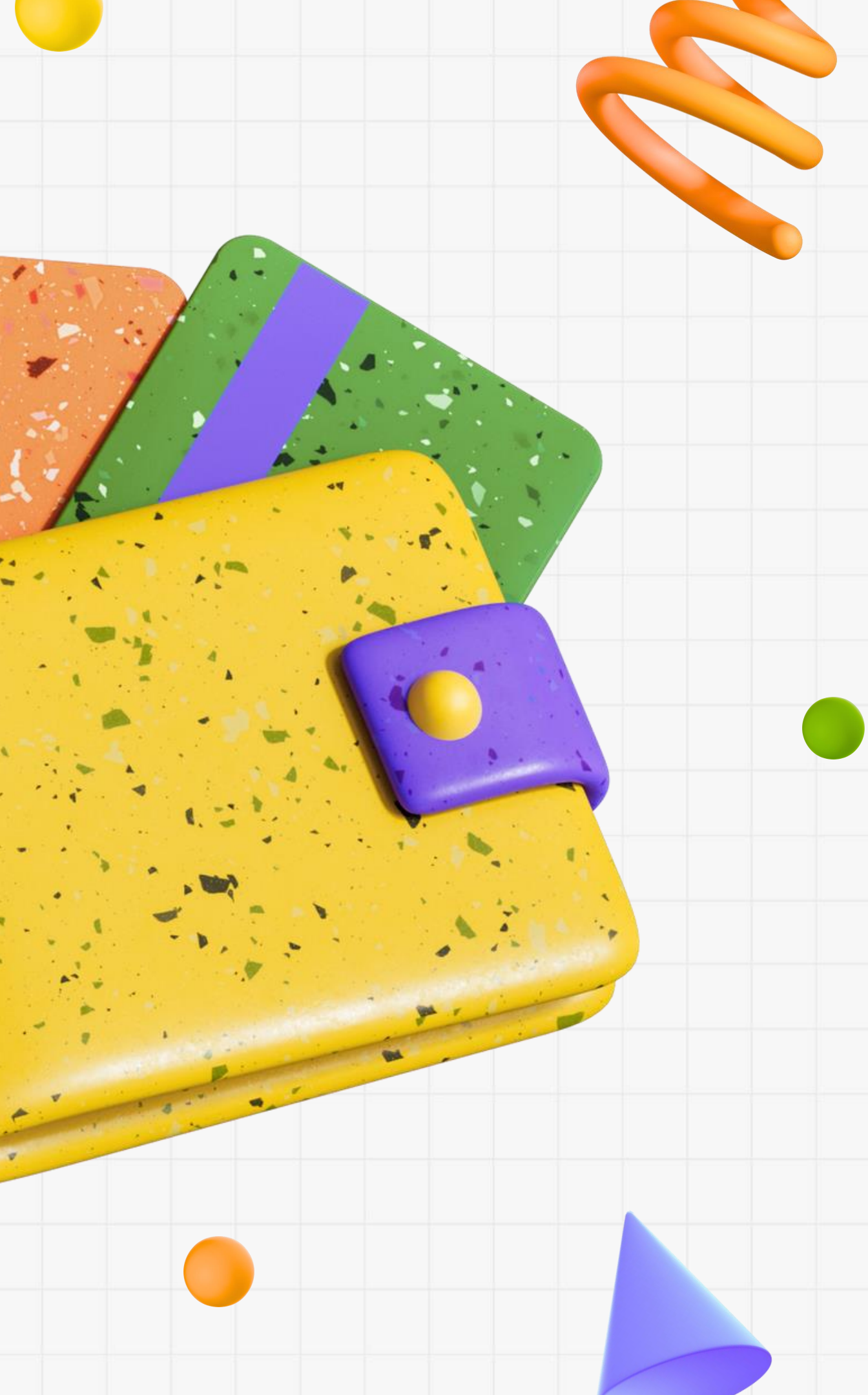


# Meaning of Ethics

According to the New Encyclopedia Britannica, ethics is a discipline concerned with what is morally good and bad, right and wrong. The word ethics comes from the Greek word ethos which means "character" or "guiding beliefs, standards, or ideals that permeate society. The study of ethics is the viewing of ethical concerns and the possible consequences in the light of one's values (Keiser, 2005).







# The Role of Ethics in Society

The role of ethics in society is to guide people, businesses, and institutions in making fair and responsible decisions. Today, ethics has become very important because many issues such as corruption in government, misconduct in corporations, and selfish choices by individuals continue to harm communities. This is why ethics is now taught in schools and universities, to remind everyone that doing what is right and just is essential for building trust, fairness, and harmony in society.

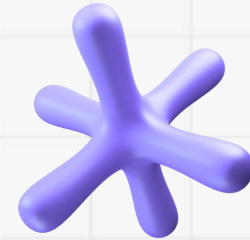
# James Keiser gives the following reasons for the current interest in business ethics:

- 1 People are becoming more materialistic and greedy.
- 2 Industries are being deregulated, causing more competition and shortcuts.
- 3 Large businesses make it harder to hold people accountable for wrongdoings.
- 4 Many people focus more on personal pleasure than responsibility.
- 5 There is weak moral leadership, with many leaders showing greed.
- 6 Families are breaking down, and traditional values aren't being passed on.
- 7 People rely too much on the government, lessening personal responsibility.

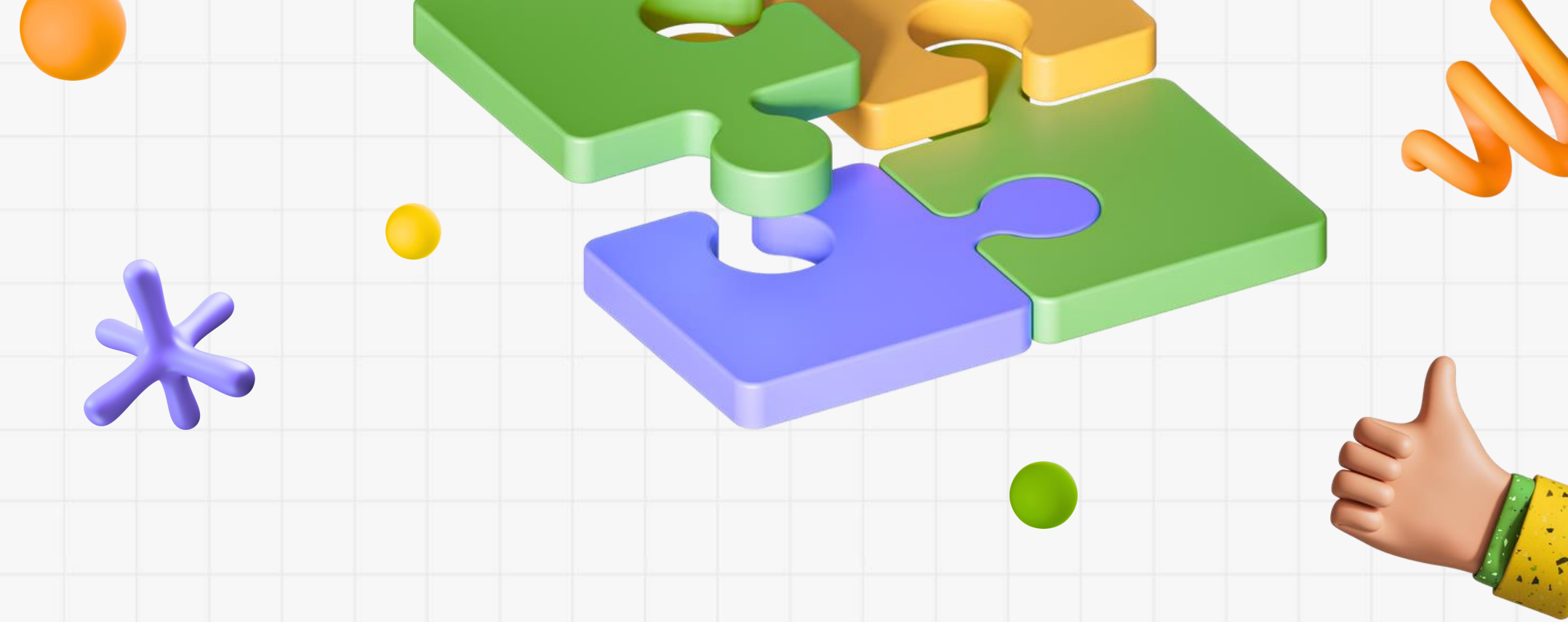




*The question that needs  
to be answered is:*



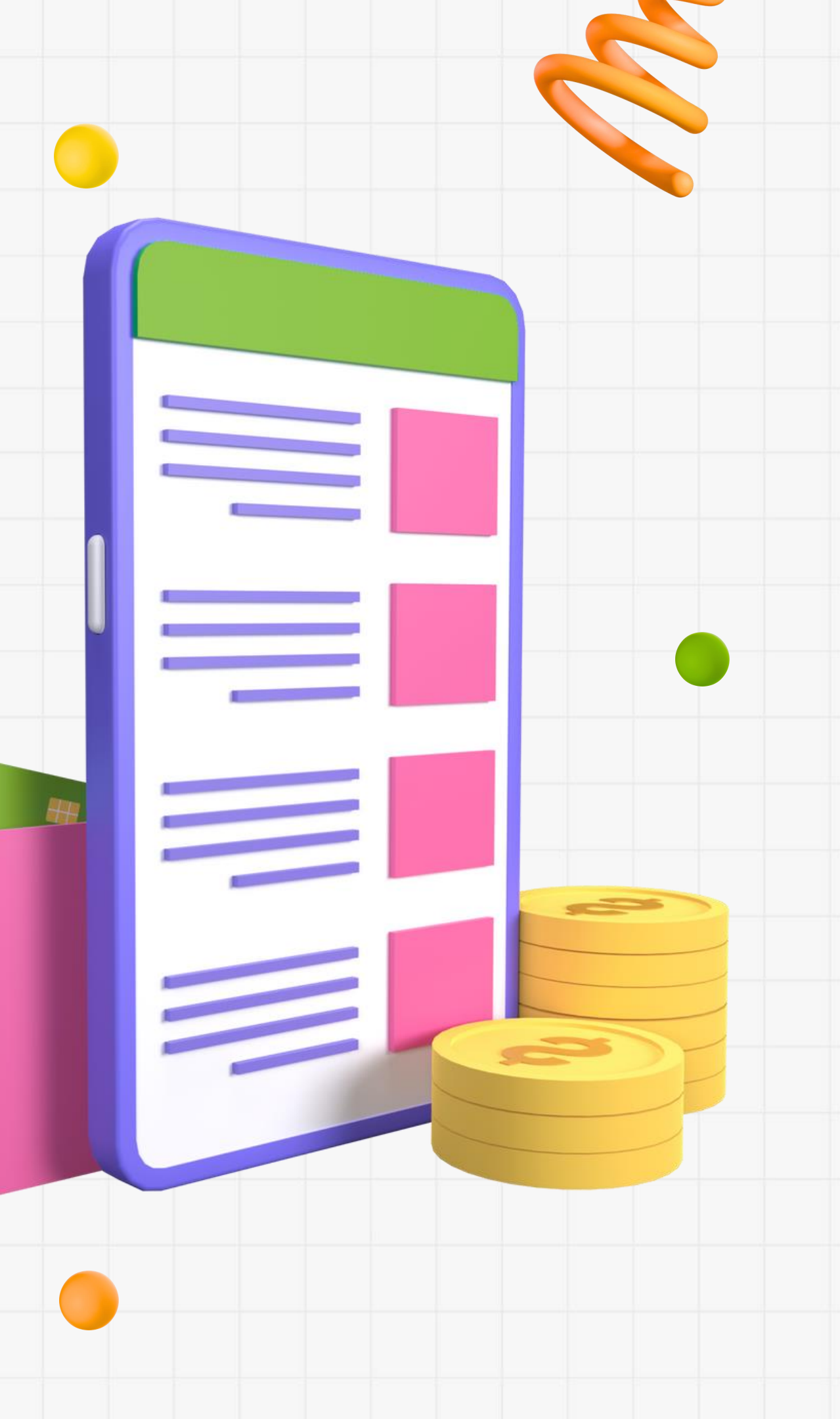
**How can we correct the problems  
with society's ethics that are very  
prevalent in today's business  
world?**



At present, many individuals make choices based on profit, promotion, or personal gain, even if it sacrifices long-term quality. Angelo and Vladimir (2005) explain that although people have different values and morals, there are universal principles such as honesty, fairness, and responsibility that all cultures, religions, and societies agree upon. These shared principles should guide individuals in building their own personal code of ethics.

Ethical practices are the result of an organization's commitment to serve its clients fairly. The structure of an organization influences how well it can handle ethical issues. Without proper support, it is difficult for employees to consistently make ethical decisions.





**According to Solomon and Hanson, there are three main reasons why ethics is important:**

- **Ethical mistakes can end careers faster and more seriously than other errors.**
- **Ethics provides the framework within which business life should operate.**
- **A damaged public image is one of the greatest dangers a business can face.**

Ethics is taught at an early age. While courses and books cannot completely change a person's values, they help individuals reflect on their behavior and analyze their actions in light of ethical standards. This is important because greed and the pursuit of money have caused many people and organizations to ignore ethics, resulting in both personal and professional failure.

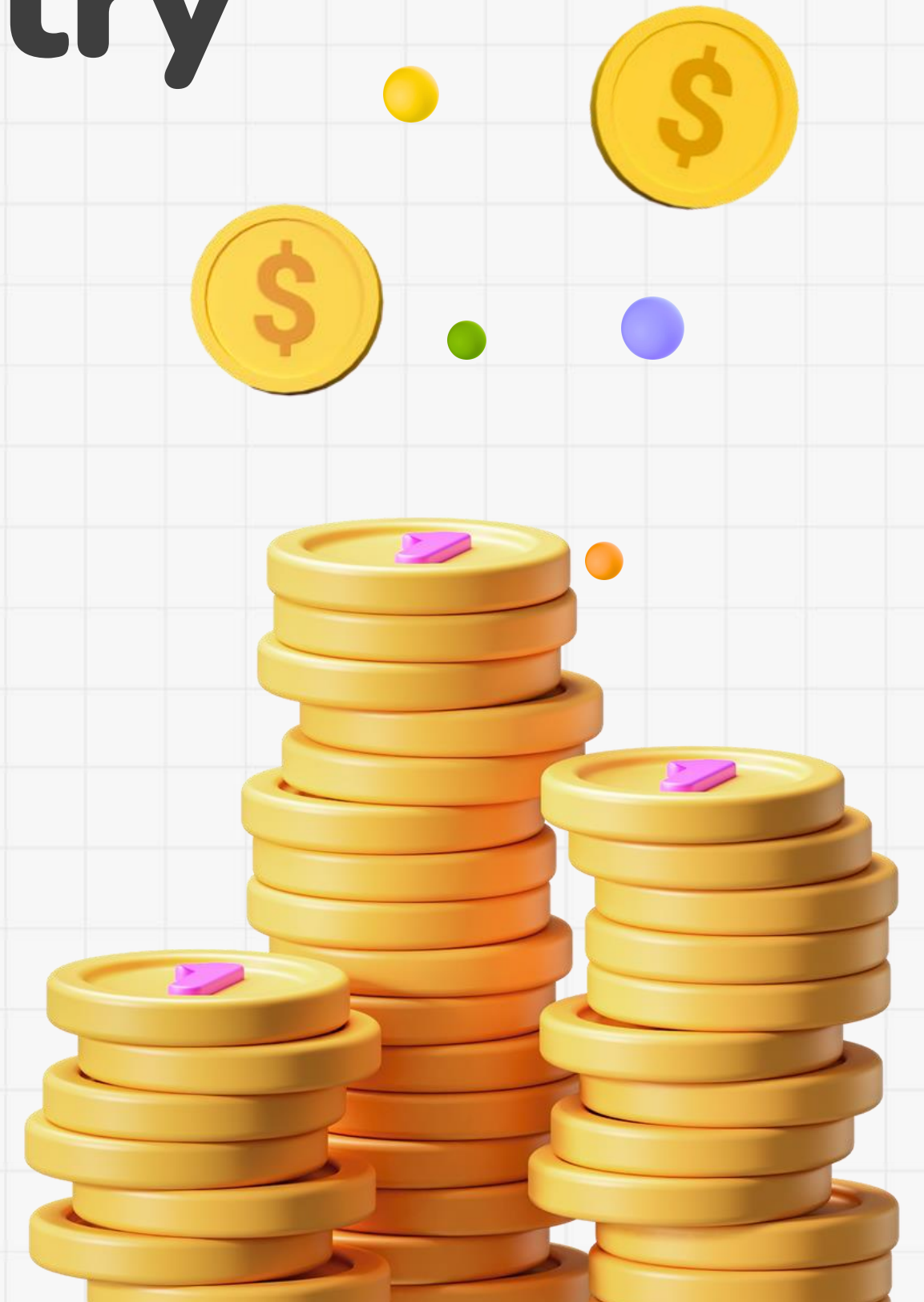
In response, colleges are adding ethics to their curriculum, and businesses are offering training programs to encourage ethical behavior. However, ethical commitment must begin at the top. If leaders do not show ethical behavior, employees will struggle to follow it. Likewise, if workers feel their company cares only about profit and not about people, they are less likely to act ethically.



# Unethical Practices in the MICE Industry

In the MICE industry, there are plenty of opportunities for unethical behavior. There are certain practices within the MICE industry that are more likely to lead to unethical behavior.

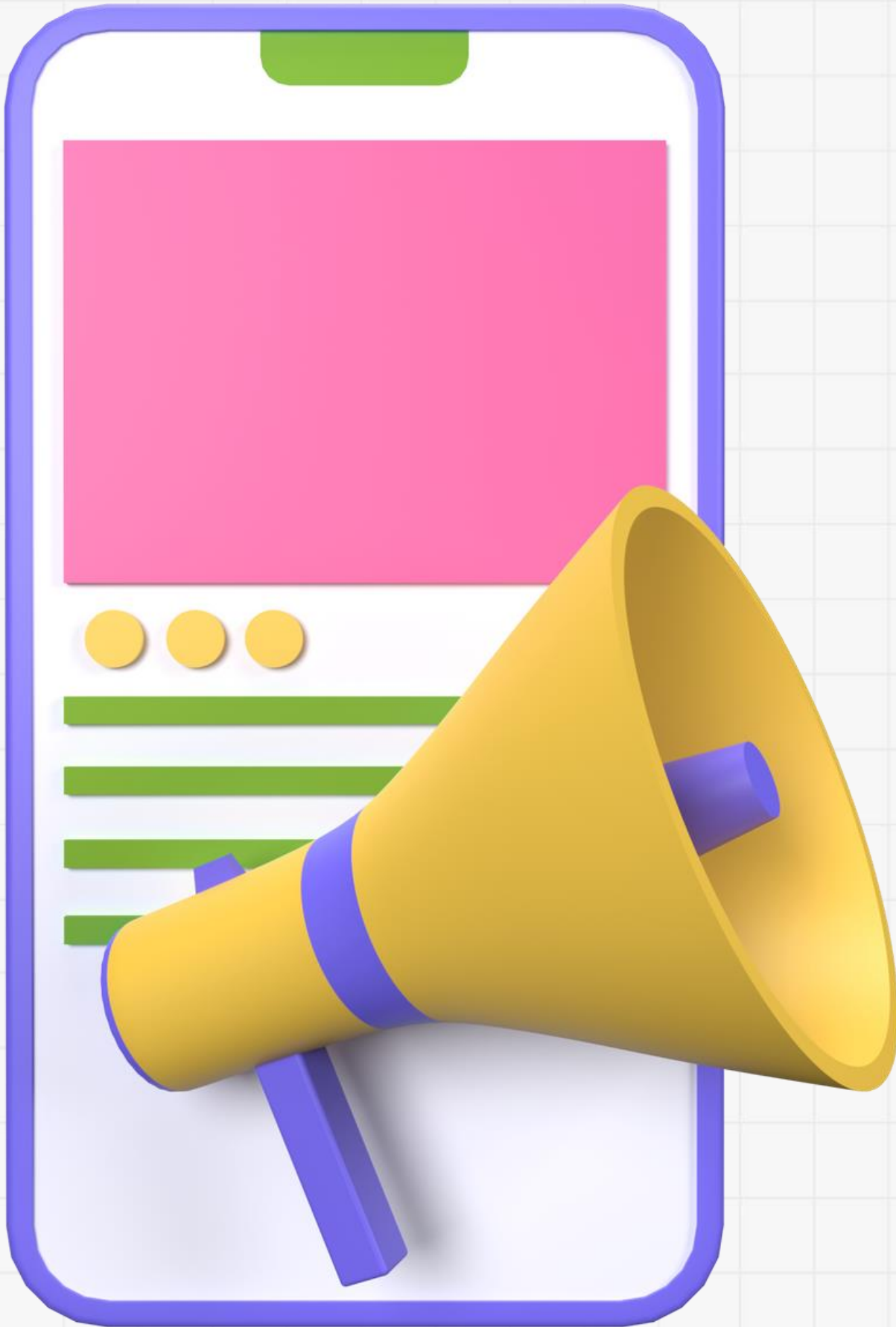
The following are some of the practices:



# Familiarization Tour

Convention and Visitor Bureaus offer free FAM tours to prospective organizers, hoping they will book future events at the location. While these trips offer a "royal treatment," they are often abused. Organizers should only accept if they intend to do business with the supplier. Some organizers use FAM trips for personal vacations without intending to book, which is unethical. Convention and event organizers should only go on FAM trips if there is a strong probability of future business. Properties should also carefully qualify their guest lists.





# Overbooking

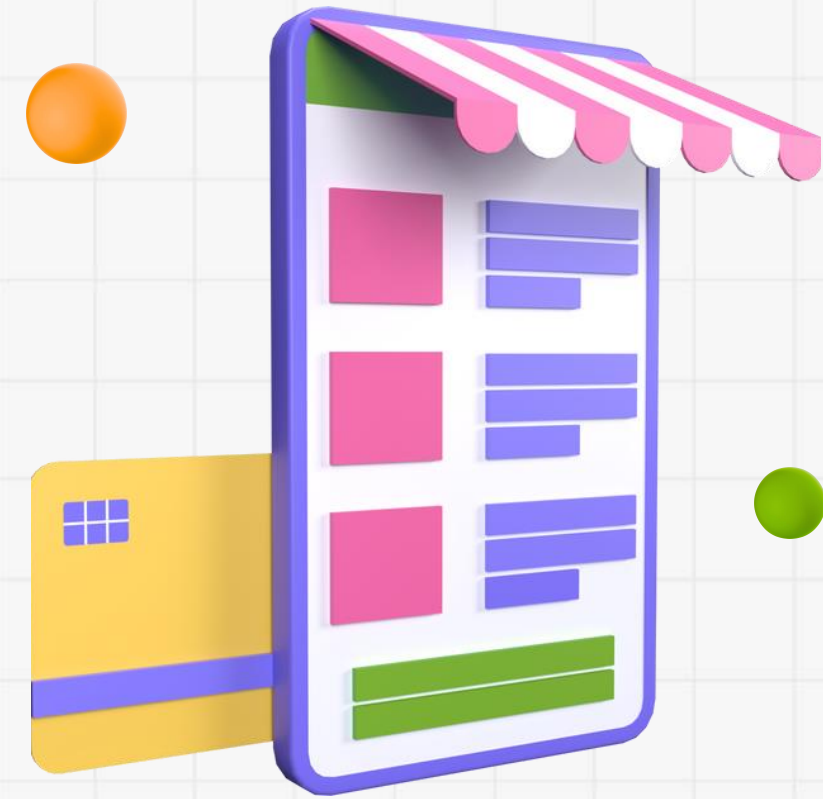
Overbooking guest rooms is a common ethical issue where hotels guarantee availability knowing it may not be possible. While unethical, not overbooking can lead to unsold rooms and lost profit. The desire for profit often outweighs ethics. Overbooking has now expanded to convention and meeting rooms.





## Commissions

Taking commissions on services by convention and event organizers is common. However, ethically and legally, hidden commissions on goods and services like accommodations and equipment are unacceptable for agents. Clients should be informed of commissions, and it should be documented in invoices and contracts.



## Gift Giving

Gift-giving is common in the MICE industry, ranging from simple items like fruit baskets to expensive jewelry. While small gifts may be acceptable, expensive items are not. Many companies have rules against staff accepting gifts if they influence purchase decisions. This is a useful guideline for convention and event organizations.

# Employment, Rates of Pay, and Working Conditions

The MICE industry heavily relies on part-time and casual employees. Ethically and legally, it is crucial to ensure strict implementation of fair working conditions and standard wages, preventing employee exploitation. Failure to address these ethical dilemmas risks damaging the entire industry's reputation.







# The Importance of a Code of Ethics

Ethics is a way of life that depends on honesty, integrity, and courtesy. Individuals should develop their own personal code of ethics. They must determine what exactly they believe in and what truths govern their lives. Based on these truths, they can develop their own personal code of ethics. They must then judge all actions based on this code. MICE organizations need to develop and maintain both good business and ethical practices. Professional associations related to the MICE industry have developed codes of ethics for their members to adhere to.





# Summary

Ethics has been an area of concern since the beginning of time. Important works have been written about the importance of ethical behavior. Unethical behavior has always been a source of contention in the business community, particularly in the MICE industry.

Ethics is an important area of concern for the MICE industry. The MICE industry needs to re-evaluate its ethical standards because it faces a number of ethical dilemmas in its business practices. To transform the overall ethical behavior of the industry, changes must take place. It is essential that the MICE industry follow the concepts of business ethics and develop and implement an appropriate code of conduct.

# Thank You!

